OPEN LETTER · EYE ON SHOALHAVEN COUNCIL

Letter to Cr Casmiri questions whether growth pays its own way in the Shoalhaven

Sent 6 August 2026 · To Cr Casmiri, Shoalhaven City Council · Response requested by 27 August 2026

Steve Prothero
Eye on Shoalhaven Council
steveprothero.substack.com

6 August 2026
Councillor Luciano Casmiri
Ward 2
Shoalhaven City Council
PO Box 42
Nowra NSW 2541

Dear Cr Casmiri,

Re: The proposition that additional residents reduce the cost burden on existing ratepayers

I am writing to you courteously and, I hope, constructively. I would like to put some published material in front of you and ask you to consider it.

On a number of occasions in the chamber you have advanced, in substance, the proposition that Shoalhaven "needs more customers"— that additional residents and ratepayers broaden the base across which Council's costs are spread, and that growth therefore improves the position of the ratepayers already here.

I want to be careful and fair about that characterisation. I am describing the substance of remarks made across several debates rather than quoting any single one, and I have not had a transcript in front of me. If I have mischaracterised your position in any respect, please tell me and I will correct it publicly and promptly. I would rather be corrected than be wrong.

Where I think you are right <>
I want to start with the part of the argument that holds, because I do not think it is nothing.

Growth does bring revenue, and
it brings it permanently.
When new lots are created, the Valuer-General issues supplementary valuations, and under section 509(2)(b) of the Local Government Act 1993 those are added to Council's notional general income base.

The rate peg is then applied on top of the enlarged base. It is simply not correct — and I have seen it said — that new houses merely dilute a fixed pool of rates. The cap itself moves up, and it stays up.

There are also genuine economies of scale. IPART's own modelling found that doubling a council's population increases its costs by somewhere between 72 and 95 per cent — less than proportionally.

A bigger council is, in that narrow sense, a somewhat more efficient one.

So the intuition behind the proposition is not baseless.

My difficulty is with where the arithmetic lands once both sides of the ledger are counted.

What the state's own regulator has found <>
On 29 June 2021, IPART published Information Paper 1 — The impact of population growth on council costs and revenue. It is the most direct examination of this question that exists in New South Wales, and its finding is this:

"On average, councils are recovering around 60% of the costs of growth (using per capita rates as a proxy for the costs of servicing an additional resident) through supplementary valuations."
Sixty cents in the dollar. The remaining forty falls on the ratepayers who were already there.

The same paper is specific about developer contributions, and this is the part I would most like you to consider. IPART found that contributions fund base-level infrastructure but:

"do not provide for the operating and maintenance costs of this infrastructure or increases in the volume of services demanded by the additional population."
IPART also published a unit figure: an operating cost of growth of $3,250 per additional rateable property for regional councils.

The consultant report that informed the paper — the Centre for International Economics, June 2021 — found that three quarters of growing NSW councils received supplementary valuation revenue growth below their population growth, and concluded that growing councils

"will, at some stage, be unable to maintain their service levels."
This is not an argument I have constructed.

It is the published finding of the body that sets Council's rate peg and that will shortly be asked to review Council's Moss Vale Road North contributions plan.

Why the mechanism works this way <>
The reason is statutory rather than political, and I do not think it reflects on anyone at

Council.

Section 7.11 of the Environmental Planning and Assessment Act 1979 authorises contributions towards the provision, extension or augmentation of public amenities and services, or recoupment of what has already been spent providing them. The NSW Department of Planning's own practice note on choosing a contribution mechanism puts it plainly: section 7.11 and 7.12 contributions "can only include capital costs for local infrastructure."

Developer contributions can build the road, the drainage basin and the park. By law they cannot patch, desilt, mow or renew any of them. That falls to general rates, permanently.

What this means at Moss Vale Road North <>
The draft contributions plan on exhibition until 4 September transfers roughly $127.4 million of new infrastructure to Council's ownership — seven roads, five bridges, fifteen bioretention basins, a constructed wetland, a detention basin, three parks and thirteen kilometres of shared pathway.

Across all 97 pages, the plan does not use the words maintenance, renewal, depreciation, operating cost or ratepayer once.

Applying IPART's 60 per cent finding to Council's own average residential rate of $1,659, the 2,605 new dwellings will generate about $4.32 million a year in rates against a servicing cost near $7.2 million. On IPART's per-property figure the gap is wider still. My estimate of the shortfall is $2.9 million to $6.1 million a year — $50 to $106 on every other Shoalhaven household's rates bill.

I have published the full working, including five ways the estimate could be wrong, and I would genuinely welcome your scrutiny of it.

For context, that shortfall is between a quarter and a half of the entire 12 per cent special rate variation IPART approved in May 2025 — the one that added about $154 to every bill. And it lands on a council that told IPART, in its own application, that it had "failed to meet the required benchmark (of 100%) for this ratio in each of the 17 years the ratio has been publicly reported," and which IPART found "will not be financially sustainable in the long term" even with the full variation approved.

A point in your favour <>
I should record something in fairness. On 18 February 2025 you voted, with all your colleagues, for MIN25.53 — the resolution that began winding back the section 64 water and sewer headworks discounts, a decision worth roughly six million dollars a year. That vote is entirely consistent with making growth pay its own way, and I have said so in print.

That is precisely why I am writing rather than simply publishing. A councillor who voted that way is, I think, open to this argument.

What I would ask of you <>
Not silence, and not agreement. Three things:

1. Please consider whether the proposition can fairly be advanced in the chamber without a caveat. If additional residents recover only about sixty per cent of what they cost, then “more customers” is at best a partial account, and councillors relying on it are being given an incomplete basis for their decisions.

1. If Council holds an analysis showing otherwise for the Shoalhaven, please point me to it. I have looked and cannot find one. If it exists, I will publish it and correct my figures. If it does not, I would ask you to consider whether the claim should be made in its current form until it does.

1. Please consider asking Council to produce one. IPART published the method five years ago. Council has never applied it to any of its urban release areas, so far as I can find. You are well placed to ask for it, and the Moss Vale Road North plan going to IPART is the natural moment.

I have no interest in embarrassing you and none in scoring a point. I have an interest in the ratepayers of the Shoalhaven understanding what they are being committed to before they are committed to it, and in councillors having the full picture before they vote.

If you would like to respond, I will publish your reply in full and unedited alongside this letter. If you would prefer to discuss it privately first, I am happy to do that instead.

Yours sincerely,

Steve Prothero
Resident and ratepayer, Shoalhaven local government area
Eye on Shoalhaven Council

Referenced material

- IPART, The impact of population growth on council costs and revenue, Information Paper 1, 29 June 2021
- Centre for International Economics, Analysis of rate peg options to account for population growth, prepared for IPART, 4 June 2021
- IPART, Final Report — Shoalhaven City Council Special Variation Application for 2025-26, May 2025
- Shoalhaven City Council, Special Variation Application Part B, 2025-26
- NSW Department of Planning, Housing and Infrastructure, Selecting the most appropriate contribution mechanism, Local Infrastructure Contributions System practice note
- Environmental Planning and Assessment Act 1979 (NSW), s 7.11; Local Government Act 1993 (NSW), s 509

- **Draft Moss Vale Road North Urban Release Area Contributions Plan 2027, on exhibition to 4 September 2026, reference 81287E**
- **Shoalhaven City Council, Minutes of the Ordinary Meeting, 18 February 2025, MIN25.53**
